www.tntextbooks.in

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2016 March 31	Bad debts A/c To Sundry debtors A/c (Bad debts written off)	Dr.		2,000	 2,000
March 31	Profit and Loss A/c To Provision for bad and doubtful debts A/c (Provision for bad and doubtful debts created)	Dr.		2,500	 2,500

Dr. Profit and loss account for the year ended 31st March, 2016 Cr.

Particulars	`	`	Particulars	`	`
To Bad debts	1,000				
Add: Additional bad debts	2,000	3,000			
To Provision for bad and doubtful debts		2,500			

Balance Sheet as on 31st March, 2016

Liabilities	`	`	Assets	`	`
			Sundry debtors	52,000	
			Less: Additional bad debts	2,000	
				50,000	
			Less: Provision for bad and doubtful debts	2,500	47,500

Illustration 7

Abstracts from the trial balance as on 31st December, 2016:

Particulars	Debit `	Credit `
Sundry debtors	1,04,000	
Bad debts	5,000	
Provision for bad and doubtful debts		2,000

Adjustments:

(i) Additional bad debts amounted to ` 4,000.

(ii) Create a provision for bad and doubtful debts @ 5% on sundry debtors.

Pass necessary adjusting entries and show how the different items appear in final accounts.